IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
COURT - 2

ITEM No.302

C.A.(CAA)/22(AHM)2023

Proceedings under Section 230-232

IN THE MATTER OF:

Sanstar Biopolymers Limited
Sanstar Limited

.....Applicant

Order delivered on: 15/06/2023

Coram:

Mr. Deep Chandra Joshi, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-

DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
(COURT NO. II)

CA (CAA) 22/AHM/2023

IN THE MATTER OF THE COMPANIES ACT, 2013
[In the matter of Section 230 read with Section 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013]

SCHEME OF AMALGAMATION

OF

SANSTAR BIOPOLYMERS LIMITED,
(Applicant Company No. 1/Transferor Company)

WITH

SANSTAR LIMITED,
(Applicant Company No. 2/Transferee Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on:15.06.2023

Coram:
DEEP CHANDRA JOSHI,
HON'BLE MEMBER (JUDICIAL)

AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

SANSTAR BIOPOLYMERS LIMITED,
(CIN: U51100GJ1983PLC009047)
Registered office at;
Sanstar House, Near Parimal Under
Bridge, Opp. Suvidha Shopping Centre,
Paldi, Ahmedabad – 380 007, Gujarat.

…Applicant Company No. 1/
Transferor Company

AND

SANSTAR LIMITED,
(CIN: U15400GJ1982PLC072555)
Registered office at;
Sanstar House, Near Parimal Under
Bridge, Opp. Suvidha Shopping Centre,
Paldi, Ahmedabad – 380 007, Gujarat.

…Applicant Company No. 2/
Transferee Company

For the Applicants: Ms. Dharmishta Raval, Advocate

ORDER

1. The present joint Application is filed under Section 230-232 read with other applicable provisions of the Companies Act, 2013 (hereinafter referred to as "**the Act**"). The proposed Scheme of Amalgamation is between **Sanstar Biopolymers Limited** (For brevity – Transferor Company) and **Sanstar Limited** (For brevity – Transferee Company).

2. Affidavits are filed in support of the Application sworn for and on behalf of Applicant Companies by Mr. Sambhav Gautamchand Chowdhary being authorized representative for both the Applicant Companies. The Board of Directors of both the Applicant Companies vide their Board Resolutions dated 23.02.2023 passed resolution approving the proposed scheme as placed before the board.

3. It is submitted that the Transferor Company is having CIN: U51100GJ1983PLC009047 and is incorporated, under the provisions of the Companies Act, 1956, and is presently having its Registered office at; Sanstar House, Near Parimal Under Bridge, Opp. Suvidha Shopping Centre, Paldi, Ahmedabad – 380007, Gujarat. The Authorised Share Capital of the Transferor Company is Rs. 5,00,00,000/- which is divided into 50,00,000 Equity shares of Rs. 10/- each. The issued, Subscribed, and Paid-up Share Capital of the Company is Rs. 3,06,88,500/- which is divided into 30,68,850 equity shares of Rs. 10/- each.

4. It is submitted that the Transferee Company is having CIN: U15400GJ1982PLC072555 and is incorporated, under the provisions of the Companies Act, 2013, and is presently having its Registered office at; Sanstar House, Near Parimal Under Bridge, Opp. Suvidha Shopping Centre, Paldi, Ahmedabad – 380007, Gujarat. The Authorised Share Capital of the Transferee Company is Rs. 30,00,00,000/- which is divided into 3,00,00,000 Equity shares of Rs. 10/- each. The issued, Subscribed, and Paid-up Share

Capital of the Company is Rs. 29,50,00,000/- which is divided into 2,95,00,000 equity shares of Rs. 10/- each.

5. It is submitted that both the Applicant Companies are engaged in the business of manufacturing, importing, exporting and dealing, in maize oil, maize chuntie, gluten powder, maize bran, golden syrup, oil cake, maize starch powder, modify starches, dextrines, enzymes, glucose liquid, dextrose, powder, anhydrous dextrose powder, sorbitol, ranitol, wheat flour, cattle feed, poultry feed, high maltose corn syrup, high fructose com syrup, malto dextrine liquid, malto dextrine powder, tapioca chips, tapioca flour, tapioca starch, sago, gowar, wheat, bran, turmeric, tamrind starch, tamrind seeds, sugar, jaggery, textile, leather, food, pharmaceutical industries, organic and inorganic chemicals.
6. It is also represented that the registered offices of both the applicant companies are situated within the territorial jurisdiction of Registrar of Companies, Ahmedabad, Gujarat, which is falling under the jurisdiction of this Tribunal.
7. The Applicant Companies have filed their respective Memoranda and Articles of Association inter alia delineating their object clauses along with their latest audited financial statements for the year dated 31.03.2022 and also filed their provisional financial statements for the period 31.01.2023, respectively.
8. Both the Applicant Companies have placed on record their Valuation Reports dated 22nd February, 2023 prepared by Registered Valuer, CA Sejal Agarwal (IBBI registration Number- IBBI/RV/06/2020/13106).

9. Rationale and purpose of the Scheme of arrangement is stated as under:

(a) The Transferor Company and the Transferee Company are engaged in the manufacturing of corn starch, liquid glucose, maltodextrin, dextrose monohydrate, dried glucose syrup and tapioca starch.

(b) The Transferor Company and the Transferee Company intend to combine their business operations by way of amalgamation of the Transferor Company into the Transferee Company. Since both the companies are engaged in similar business, the combined entity will have greater efficiency in overall business including economies of scale, cash flow management of the combined entity and unfettered access to cash flow generated by the combined business which can be deployed more efficiently for the purpose of development of businesses of the companies and their growth opportunities, eliminate inter corporate dependencies, minimize the administrative compliances, etc. resulting in cost savings and maximisation of shareholders value.

(c) The combined entity will have the benefit of the combined resources of the Transferor Company and the Transferee Company i.e., market share, scale, efficiency, combined net- worth, combined employee base, reserves, investments, and other assets, manpower, consolidated pool of finances, including optimization of borrowing costs and administrative compliances related thereto, larger size, consolidation of operations, mitigating competition, future

opportunities, etc. The combined entity would be in a position to carry on consolidated operations through optimum utilization of its resources and integrated production facilities.

(d) The combined entity would also have a larger net-worth base and greater borrowing capacity which would provide it a competitive edge over others which will be beneficial to the Transferor Company and the Transferee Company and their shareholders, as the Transferor Company and the Transferee Company plan to meet the competition in a more effective way by combining their asset base and operations.

(e) The Board of Directors of the Transferor Company and the Transferee Company are of the opinion that the amalgamation would motivate employees by providing better opportunities to scale up their performance with a corporate entity having large revenue base, resources, asset base etc, which will provide impetus to corporate performance thereby enhancing overall shareholder value.

10. It is further submitted by the Applicant Companies that provisions of Competition Act, 2002 are not applicable to the present Scheme and no notice is required to be issued to the said authority. There are no foreign shareholders in the Applicant Transferor Company. Further, no new shares are being allotted to any non-resident and, therefore, notice to RBI is not required.

11. The Board of Directors of both the Applicant Companies have unanimously approved the proposed scheme of amalgamation as contemplated above. Copies of the respective board resolutions of both the Applicant Companies dated 23.02.2023 passed in their respective board meetings have been placed on record.
12. The certificates issued by the Statutory Auditor under section 133 of the Companies Act, 2013, of both the Applicant Companies are placed on record.
13. The Applicant Companies have submitted that no investigation proceedings are pending against the Applicant Companies under sections 210 to 226 of the Companies Act, 2013 as well as Sections 235 to 251 of the Companies Act, 1956.
14. With respect to the **Applicant Company No. 1,** it is stated that:
    a) There are 153 equity shareholders and a certificate from Chartered Accountant certifying the list of shareholders is annexed with application. The company is seeking direction for holding and convening the meeting of equity shareholders.
    b) There are 4 secured creditors and a certificate from a Chartered Accountant certifying the list of the secured creditors is annexed with application. The company is seeking direction for holding and convening the meeting of secured creditor.
    c) There are 167 unsecured creditors and a certificate from a Chartered Accountant certifying the list of the unsecured creditors is annexed with

application. The company is seeking direction for holding and convening the meeting of unsecured creditors.

15. With respect to the **Applicant Company No. 2,** it is stated that:

a) There are 23 equity shareholders and a certificate from a Chartered Accountant certifying the list of shareholders is annexed with application. The company is seeking direction for holding and convening the meeting of equity shareholders.

b) There are 4 secured creditors and a certificate from a Chartered Accountant certifying the list of the secured creditors is annexed with application. The company is seeking direction for holding and convening the meeting of secured creditors.

c) There are 140 unsecured creditors and a certificate from a Chartered Accountant certifying the list of the unsecured creditors is annexed with the application. The company is seeking direction for holding and convening the meeting of Unsecured Creditors.

16. Taking into consideration the submissions and the documents filed therewith, we issue the following directions:

i) In relation to Applicant Company No. 1:

a. With respect to Equity Shareholders:

The meeting of the Equity Shareholders of the company shall be Convened on 24th July, 2023, Monday, at 11:00 am.

b. With respect to Secured Creditors:

The meeting of the Secured Creditors of the company shall be Convened on 24th July, 2023, Monday, at 12:00 noon.

c. With respect to Unsecured Creditors:

The meeting of the Unsecured Creditors of the Company shall be convened on 24th July, 2023, Monday, at 1:30 noon.

ii) In relation to the Applicant Company No. 2:

a. With respect to Equity Shareholders:

The meeting of the Equity Shareholders of the company shall be Convened on 24th July, 2023, Monday, at 2:30 pm.

b. With respect to Secured Creditors:

The meeting of the Secured Creditors of the company shall be Convened on 24th July, 2023, Monday, at 3:30 pm.

c. With respect to Unsecured Creditors:

The meeting of the Unsecured Creditors of the Company shall be convened on 24th July, 2023, Monday, at 4:30 pm.

17. The meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Applicant Companies shall be held at Sanstar House, Near Parimal Under Bridge, Opp. Suvidha Shopping Centre, Paldi, Ahmedabad – 380007, Gujarat for the purpose of considering and, if thought fit, approving with or without modifications the proposed Scheme, by physical or virtual mode.

18. Notice for the convening of the said meeting, indicating the day, date, place, and time, as aforesaid, shall be published in English daily, "Free Press," Ahmedabad Edition and a Gujarati translation thereof in "Lok Mitra", Ahmedabad Edition, at least 30 days prior to the date of the meeting. The publication shall indicate the time within which copies of the scheme shall be made available to the concerned persons free of charge from the respective registered office of both the Applicant Companies. The publication shall also indicate that the statement required to be furnished according to the section 102 of the Companies Act, 2013 read with Section 230 to 232 of the Companies Act, 2013 and the prescribed form of proxy can be obtained free of charge at the registered office of both the Applicant Companies in accordance with the second proviso to sub-section 3 of Section 230 and rule 7 of the Companies (CAA) Rules, 2016.

19. In addition, at least one month before the date of the meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Applicant Companies to be held as aforesaid, a notice convening the said meeting, indicating the day, date, place and time, as aforesaid, together with a copy of the scheme, a copy of the statement required to be furnished pursuant to section 102 of the Act read with Sections 230 to 232 and Rule 6 of the Companies(CAA) Rules, 2016 shall be sent to each of the Equity Shareholders of both the Applicant Companies, Secured and Unsecured Creditors of both the Applicant Companies at their respective registered or last known addresses either by Registered post or speed post/Airmail or e-

mail, by courier or by hand delivery. The notices shall be sent to the Equity Shareholders, Secured Creditors and Unsecured creditors of both the Applicant Company with reference to the list of the persons appearing on the record of the Applicant Companies as on 31.01.2023.

20. Mr. Riddhesh Trivedi, Advocate is appointed as the Chairperson, and in his absence Mr. Mehul Rajput is appointed as the alternate Chairperson of the above meetings and Mr. Gaurang Shah, Practicing Company Secretary is appointed as scrutinizer and in his absence Mr. Anmol Shanwlesha, Practicing Company Secretary is appointed as the scrutinizer of the aforesaid meeting.

21. The Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairperson is free to avail the services of the Applicant Companies or any agency for carrying out the aforesaid directions.

22. We direct the Applicant Companies to pay the Chairperson a sum of Rs.50,000/- and to the Scrutinizer a sum of Rs.25,000/- as their fees.

23. The Chairperson shall have all powers under the Articles of Association of the Applicant Companies and also under the Rules in relation to the conduct of meetings, including for deciding any procedural questions that may arise at the meetings or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting of the Equity Shareholders, Secured and

Unsecured Creditors of both the Applicant Companies by polling paper/ballot.

24. The Chairperson shall file an affidavit not less than 7(seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

25. It is further ordered that the Chairperson of the Company shall report to this Tribunal the result of the meeting in Form No. CAA.4, verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 in Form No. CAA. 4 within seven days from the date of the meeting.

26. The quorum for the aforesaid meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Applicant Companies shall be as prescribed under Section 103 of the Companies Act, 2013.

27. Voting by proxy/authorized representative is permitted provided that the proxy is in the prescribed form/authorization duly signed by the person entitled to attend and vote at the aforesaid meeting and is filed with the Applicant Companies not later than 48 hours before the said meeting, vide Rule 10 of the Companies (CAA) Rules, 2016 read with section 105 of the Act.

28. The number and value of the vote or the value of debt of the secured and unsecured creditors of both the Applicant Companies, as the case may be, shall be as per the entries in the books of accounts of the companies for the secured

& unsecured Creditors; and where the entries in the records are disputed, the Chairperson of the meetings shall determine the value for the purposes of the meetings.

29. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, and (iii) Official Liquidator (in respect of Applicant Transferor Company) and (iv) to the Income Tax Department along with full details of assessing officer and PAN numbers of both the Applicant Companies with a copy also to the office of Principal Chief Commissioner of Income Tax and to such other Sectoral Regulatory Authorities who may govern the working of the respective companies involved in the Scheme, and representation, if any, to be made by them shall be made within 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by an email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date

of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed amalgamation.

30. The Company Application is allowed and disposed of in terms of the above directions.

-SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-

DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

Swetambary-Steno
Abhishek-LRA